NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-II), CHANDIGARH
(Through web-based video conferencing platform)

CP (CAA) No. 42/Chd/Hry/2023
(2nd Motion)
Connected with
CA(CAA) No. 17/Chd/Hry/2023
(1st Motion)

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangement and Amalgamation Rules), 2016

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN:

CHAMUNDESWARI BUILDERS PRIVATE LIMITED
(CIN: U70102HR2007PTC094691) (PAN: AADCC1948B)
Having its registered office at:
Mezzanine Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122002 (Haryana)
Through Authorised Person: Mr. Rajneesh

…PETITIONER NO. 1/ TRANSFEROR COMPANY NO. 1

DLF GARDEN CITY INDORE PRIVATE LIMITED
(CIN: U70101HR2005PTC104355) (PAN: AAFCA5034N)
Having its registered office at:
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122002, Haryana
Through Authorised Person: Mr. Shambir

…PETITIONER NO. 2/ TRANSFEROR COMPANY NO. 2

DLF IT OFFICES CHENNAI PRIVATE LIMITED
(CIN: U70100HR2011PTC044012) (PAN: AADCD9889J)
Having its registered office at:
10th Floor, Gateway Tower, DLF City, Phase-III,
Gurugram-122002, Haryana
Through Authorised Person: Mr. Ravinder Verma

…PETITIONER NO. 3 / TRANSFEROR COMPANY NO. 3

DLF RESIDENTIAL DEVELOPERS LIMITED
(CIN U45200HR2008PLC075587) (PAN AACCD9577G)

Having its registered office at:
2nd Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122002, Haryana
Through Authorised Person: Mr. Shambir

…PETITIONER NO. 4/ TRANSFEROR COMPANY NO. 4

LATONA BUILDERS & CONSTRUCTIONS PRIVATE LIMITED
(CIN: U45201HR2006PTC093538) (PAN: AABCL2134J)
Having its registered office at:
Mezzanine Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122 002, Haryana
Through Authorised Person: Mr. Sandeep Kumar Gupta

…PETITIONER NO. 5/ TRANSFEROR COMPANY NO. 5

LIVANA BUILDERS & DEVELOPERS PRIVATE LIMITED
(CIN: U45201HR2006PTC093539) (PAN:AABCL1901D)
Having its registered office at:
Mezzanine Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122 002, Haryana
Through Authorised Person: Mr. Sandeep Kumar Gupta

…PETITIONER NO. 6/ TRANSFEROR COMPANY NO. 6

DLF HOME DEVELOPERS LIMITED
(CIN: U74899HR1995PLC082458) (PAN: AACCD0037H)
Having its registered office at:
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122 002, Haryana
Through Authorised Person: Mr. Amit Kumar Sinha

…PETITIONER NO. 7/ TRANSFEREE COMPANY

Order delivered on: 20.11.2024

CORAM: HON'BLE SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE SH. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present through Video Conferencing:

For the Petitioner Companies : Dr. U.K. Chaudhary, Senior Advocate with Ms. Manisha Chaudhary, Mr. Pulkit Goyal, Advocate

For the Regional Director/ RoC : Mr. Vineet Khatri, Company Prosecutor

For the Official Liquidator : Mr. Edward Augustine George, Advocate.

For the Income Tax Department: Mr. Yogesh Putney, Senior Standing Counsel

Per: Sh. Harnam Singh Thakur, Member (Judicial)
Sh. Umesh Kumar Shukla, Member (Technical)

ORDER

This is a Joint Second Motion Company Petition (hereinafter referred to as the "Petition") filed under Sections 230-232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as the "Act") and the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "Rules") by Chamundeswari Builders Private Limited (hereinafter referred to as the "Petitioner No.1" or "Transferor Company No.1"), DLF Garden City Indore Private Limited (hereinafter referred to as the "Petitioner No.2" or "Transferor Company No.2"), DLF IT Offices Chennai Private Limited (hereinafter referred to as the "Petitioner No.3" or "Transferor Company No.3"), DLF Residential Developers Limited (hereinafter referred to as the "Petitioner No.4" or "Transferor Company No.4"), Latona Builders & Constructions Private Limited (hereinafter referred to as the "Petitioner No.5" or "Transferor Company No.5"), Livana Builders & Developers Private Limited (hereinafter referred to as the "Petitioner No.6" or "Transferor Company No.6") (hereinafter Petitioner No.1 to 6 referred to as the "Transferor Companies") and DLF Home Developers Limited (hereinafter referred to as the "Petitioner No.7" or "Transferee Company") (hereinafter Petitioner No.1 to 7 referred to as the "Petitioner Companies") for sanction of the Scheme of merger/ amalgamation of Transferor Companies with the Transferee Company (hereinafter referred to as Scheme"). The said Scheme has been attached as Annexure A-1 of the Petition.

2. The registered offices of all the Petitioner Companies are situated within the State of Haryana, therefore, this Petition is within the jurisdiction of this Tribunal.

3. The Board of Directors of the Transferor Company No.1 to 6 and the Transferee Company in their respective meetings held on 21.03.2023, considered and approved the proposed Scheme. The copy of the Board resolutions have been annexed with the Petition as Annexure A-5, A-9, A-13, A-17, A-21, A-25 and A-29 respectively

4. Earlier, the Petitioner Companies had filed Joint First Motion Company Application No.CA(CAA)17/Chd/Hry/2023 (hereinafter referred to as the "Application") seeking directions for dispensation of holding the meetings of Equity Shareholders, Preference Shareholders, Compulsory Convertible Debenture Holders and Non-Convertible Debenture Holders, Secured Creditors and Unsecured Creditors of the Petitioner Companies, which was allowed by this Tribunal vide its Order dated 29.08.2023. Vide above Order, the meetings of Equity Shareholders, Preference Shareholders and Debenture Holders of the Petitioner Companies were dispensed with. The meetings of Secured Creditors and Unsecured Creditors of the Petitioner Companies were also dispensed with subject to compliance of certain conditions and they were directed to file the respective list of Creditors as on the date of passing of the order and serve the notices upon their current Creditors having outstanding debt amounting to not less than five percent of total outstanding debt of the respective Company as per the list of Creditors. The Petitioner Companies were also directed to serve the notices to the Statutory Authorities namely (a) Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi (hereinafter referred to as the "RD"); (b) concerned Registrar of Companies (hereinafter referred to as the "RoC"); (c) concerned Official Liquidator (hereinafter referred to as the "OL"); (d) Income Tax Department (hereinafter referred to as the "ITD");; (e) Real Estate Regulatory Authority (hereinafter referred to as the "RERA").

5. In compliance of the above directions, the Petitioner Companies No.1 to 7 filed two Compliance Affidavits vide Diary No.01075/2 dated 13.09.2023 and 01075/03 dated 20.09.2023. While examining the Petition, it was noted from the aforesaid compliance affidavits that the Petitioner Companies had issued notice only to Haryana Real Estate Regulatory Authority (hereinafter referred to as the "HRERA"), while as per Schedule I of the Scheme, the Petitioner Companies have projects in other States as well viz. Transferor Company No.1, 5 & 6 in Nandigama Village of Ranaga Reddy District in Telangana State; Transferor Company No.2 in Indore District in Madhya Pradesh State; and Transferor Company No.3 in Guindy Taluk Village of Chennai District in Tamil Nadu State and no reason/ clarification was provided in the Petition. It was also noted that the statutory dues payable to government authorities have been excluded from the list of Creditors.

6. It was also noted from the audited financial statements for the year 2022-23 of Transferee Company that the Competition Commission of India (hereinafter referred to as the "CCI"}, on a complaint filed by the Belaire/ Magnolias/ Park Place Owners Association in respect of Company's project namely Park Place relating to imposing unfair trade conditions on buyers, had imposed penalty of Rs.63000 lakhs on the holding Company, DLF Limited and also ordered to suitably modify the alleged unfair conditions on its buyers. Further, the CCI had directed the company relating to New Town Height Project to cease and desist in implementation of the terms and conditions of the Apartment Buyer Agreement, which was found to be unfair and abusive. The Company had filed appeals before the Competition Appellate Tribunal (hereinafter referred to as the "COMPAT"), which were dismissed by COMPAT, against which the company has filed an appeal before Hon'ble Supreme Court of India

((hereinafter referred to as the “SCI”), which admitted the appeal and directed to deposit Rs.63000 lakhs with the SCI.

7. This Tribunal vide its Order dated 01.03.2024 issued the following directions to the Petitioner Companies to:

(i) publish the notice of hearing in newspapers namely, “Financial Express” (Haryana edition and Delhi NCR Edition) in English language and “Dainik Bhaskar” (Haryana edition and Delhi NCR Edition) in Hindi language and on the websites of the Petitioner Companies, if any.

(ii) serve the notice of Petition on the authorities namely RD, OL, RoC, ITD, CCI, HRERA, Other RERAs, where the projects of the Petitioner Companies are located and to such other Sectoral Regulatory Authorities, if any, who are likely to be affected by the scheme.

(iii) serve the notices to the objector(s) or to their representatives, if any, who have made representation and who have desired to be heard

(iv) serve the notices to all the government authorities to whom any statutory dues are payable as per the books of accounts of the Petitioner Companies.

(v) file affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(vi) file an affidavit denoting the objections received from public/ other persons pursuant to the publication of public notice of hearing in the newspapers.

8. In compliance of the above Order, the Petitioner Companies filed Compliance Affidavit vide Diary No. 03428/2 01.05.2024 stating that:

(i) The notice of hearing was published in “Financial Express” (English) and “Dainik Bhaskar” (Hindi) both in Delhi-NCR Edition on 05.04.2024. The original copies of the newspapers have been attached as Annexure A-1 (Colly) of the aforesaid affidavit.

(ii) The notices were served upon the Statutory Authorities/ regulators along with copy of the Petition by speed post and original speed post receipts have been attached as Annexure A-2 of the aforesaid affidavit.

(iii) After publication of notice of hearing in the newspapers, neither the Petitioner Companies nor their Counsel have received any objection relating to the present Scheme from any stakeholder or general public at large till date.

9. In the hearing dated 12.07.2024, while examining the affidavit of services, it transpired that the notices were issued to the Authorities, but the tracking report is not there, therefore, learned counsel for the Petitioner was directed to place to record the tracking report. In furtherance of the above order, the Petitioner Companies filed a Compliance Affidavit vide diary no. 03428/10 dated 09.08.2024 stating that:

(i) The following statutory authorities were served by the Petitioner Companies on the following dates [copies of letters along with speed post receipts along with their tracking reports/ acknowledgement of delivery were also annexed with the affidavit as Annexure A-1 {Colly.)] as shown in table below:

S. NO.	NOTICE TO STATUTORY AUTHORTIES	DATE OF SENDING NOTICE
1.	Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi.	06.03.2024
2.	Registrar of Companies, NCT of Delhi and Haryana.	06.03.2024
3.	Official Liquidator attached to Punjab & Haryana High Court.	06.03.2024
4.	Income Tax Authorities through the Nodal Officer-Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector-17-E, Chandigarh.	06.03.2024 In the case of Chamundeswari Builders Private Limited (Transferor Co. No. 1) by Speed on 04.04.2024, through email on 22.04.2024 and by hand on 23.04.2024.
5.	The Haryana Real Estate Regulatory Authority, New PWD Rest House, Civil Lines, Gurugram, Haryana by the Transferee Company.	07.03.2024
6.	The Haryana Real Estate Regulatory Authority, New PWD Rest House, Civil Lines, Gurugram, Haryana by the Transferor Company No. 4 i.e. DLF Residential Developers Ltd.	07.03.2024
7.	Competition Commission of India, 9th Floor, Office Block-1, Kidwai Nagar (East), New Delhi-110023 by Transferee Company.	07.03.2024
8.	Haryana Real Estate Regulatory Authority, Panchkula, Mini Secretariat New Office Block 2nd & 3rd Floor. Sector 1, Panchkula, Haryana-134 114 by Transferee Company.	07.03.2024
9.	Punjab Real Estate Regulatory Authority, First Floor, Block-B, Plot No. 2, Sector-18A, Near Govt. Press UT, Madhya Marg, Chandigarh-160018 by Transferee Company.	07.03.2024
10.	Delhi Real Estate Regulatory Authority, NCT of Delhi, 2nd Floor, Shivaji Stadium Annexe Building, Shaheed Bhagat Singh Marg, New Delhi-110 001 by Transferee Company.	07.03.2024

(ii) With respect to the projects of the Transferor Companies situated in the other States than the State of Haryana, Transferor Companies No. 1, 2, 3, 5, & 6 had received completion/ occupancy certificate prior to the commencement of the RERA Act, 2016 and thus, the provisions of RERA do not apply on the said projects. However, due notice of the Petition has been served on the respective RERAs, where the projects of the Petitioner Companies are falling under and are thus, being regulated by the RERA.

(iii) The Petitioner Companies have obtained Certificate dated 08.06.2024 by Prem Arun Jain & Co., Chartered Accountants certifying that the statutory dues that were pending deposition on 31.03.2024, have been subsequently settled up till the date of signing of this Certificate.

(iv) There are no such statutory dues or development charges payable by the Petitioner Companies towards land authorities and the dues of Income Tax, GST etc. are covered in the separate reply affidavits-cum-undertaking filed by the Petitioner Companies.

(v) The Petitioner Companies are not governed by any other sectoral regulators or Statutory Authorities, which are likely to be affected by the present Scheme.

10. In response to the notices, the Statutory Authorities/ regulators have furnished their reports, which have been discussed as under:

Regional Director (RD)/ Registrar of Companies (RoC)

11. The RD has filed its report vide Diary No. 03428/3 dated 03.05.2024 enclosing therewith the report of the ROC dated 16.04.2024, which was taken on record vide this Tribunal Order dated 12.07.2024.

(i) It is mentioned at para 10 of the report that RoC Delhi vide its letter dated 16.04.2024 had certain observations, which have been replied by the Transferee Company vide its letter dated 16.04.2024. The observation of the RoC and reply of the Transferee Company as mentioned in RD report are shown in the Table below:

	Observation of the RoC	Reply of the Transferee Company
1	*The Hon'ble NCLT vide its order dated 29.08.2023 through company application CA/CAA/17/CHD/HRY/2023 had dispensed the meeting of the unsecured creditors of the Applicant company no 02 to 07 with subject to strict compliance of the conditions laid down at para 25 (Vi) of the order. Hence, the company may be asked to ensure the compliances of the said conditions*	*The Hon'ble NCLT vide its Order dated 29.08.2023 directed all the Applicant Companies to file list of creditors as on the date of Order and also to serve notices upon their creditors as on the date of passing of the Order having outstanding debt amounting to not less than 5% (five percent) of total outstanding debt of the company as per the list of creditors and to the statutory authorities.* *It is submitted that in compliance of the directions, the Applicant Company Nos. 2 to 7 filed their respective list of creditors as on 29.08.2023 with the Registry of the Hon'ble NCLT within the stipulated time frame through an Affidavit on 11.09.2023 having Filing No. 04041160107520 23 and physically on 13.09.2023 having Diary No. 01075/2. (Applicant Company No. 1 does not have any creditors).* *Further also, the Applicant Company Nos. 2 to 7 served notices upon the creditors having outstanding debt amounting to not less than 5% (five percent) of total outstanding debt of the company and also upon the statutory authorities on 12.09.2023. Further in compliance of direction in para 25(VI)(e) of the order, Applicant Companies No. 2 to 7, have duly served notices pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 with suitable changes in the notice relating to waiver of the meetings upon Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi on 12.09.2023, Registrar of Companies on 12.09.2023, Income Tax*

	Observation of the RoC	Reply of the Transferee Company
		Department within whose jurisdiction the assessments of the applicant companies are made on 12.09.2023, RERA on 12.09.2023 and the Official Liquidator on 12.09.2023. An Affidavit to this effect has already been filed before the Hon'ble NCLT on 18.09.2023 having Diary No. 0404116010752023 and physically on 20.09.2023 having Diary No. 01075/3. After complying with the directions as mentioned in the said Order dated 2[illegible].08.2023 and filing of Affidavit of Compliances to this effect, second motion petition was jointly filed by the Applicant Companies before the Hon'ble NCLT [illegible]y [illegible].10.2023 within the timelines prescribed by Hon'ble NCLT in said Order.
2	As per audited financial statements of the Transferor Company no. 01, Transferor Company no. 05 and Transferor Company no. 06 for the FY ended 31.03.2023, it is seen that the companies have nil revenue from its operation since last two years. Thus, the companies appears to be dormant u/s 455 of the Companies Act, 2013.	The concerned Transferor Companies submit that the provisions of Section 455 of the Companies Act are not attracted as the Companies are engaged in active business operations. It is worth mentioning that the concerned Transferor Companies have filed its Annual Returns and Financial Statements till the financial year ended on 31.03.2023 and there is no default in this regard. However, there are no revenue from operations from the FY 2021-22.
3	In case of Transferor Company no. 02, Transferor Company no. 03, Transferor Company no. 04 and Transferee Company auditor has stated in the audit report for the FY ended 31.03.2023, that the company has granted loans and advances to companies/firm or any others parties. Hence, the company may be asked to ensure the compliances of the provisions of the section 185 and 186 of the Companies Act, 2013.	It is submitted that inter-corporate loans are given from time to time in the normal course of business in compliance with the provisions of the Companies Act, 2013. All necessary compliances as required under the provisions of the Companies Act, 2013 (the 'Act') including filing of statutory Forms have been complied with, wherever applicable. No loan has been given which is in contravention of Section 185 of the Act. Also, all necessary approvals have been taken while granting loans under the Act and the requisite forms have been filed.

	Observation of the RoC	Reply of the Transferee Company
4	In case of Transferor Company no 02 Transferee Company auditor has stated in the audit report for the FY ended 31.03.2023, that the company has not deposited the certain statutory dues on Account of dispute and cases for the same are being pending before their respective authority	Please note that certain matters are pending and under challenge before the respective authority(ies) and the same will be dealt with in accordance with law. Please note that the Transferee Company shall continue to exist, and all legal proceedings of the Transferor Company(ies) may be continued/dealt with by the Transferee Company accordingly. The Auditors have mentioned certain pending legal cases which are sub-judice before the Courts/regulatory authorities. The Company has taken appropriate legal action/steps.
5	In case of Transferee Company auditor has stated 'Emphasis of Matter' in the audit report for the FY ended 31.03.2023. Hence, the clarification from the company may be sought	The Auditors have mentioned certain pending legal cases which are sub-judice before the Courts/regulatory authorities. The Company has taken appropriate legal action/steps.
6	In case of Transferee Company auditor has stated that the title deeds of the certain Immovable Property which was acquired through Scheme of Arrangement of amalgamation vide order passed by the Hon'ble High Court dated 01.11.2011 are not in the name of the company. Hence, the clarification from the company may be sought.	It is submitted that these assets got vested in the name of the Company pursuant to relevant scheme of arrangements/amalgamations approved by the appropriate authority(ies). Our response with regard to status of each land/property is as follows : i) **Eastern India Power Limited:** a) With regard to freehold land, the Title Deed(s) are in the name of Eastern India Power Limited and the process of getting mutation in the revenue records is in process. b) These are leasehold land(s) and belong to Assam Government on lease for 30 years since 1996 and tenure of which will expire in March, 2026. In terms of the Scheme of Amalgamation, the leasehold rights stand vested in the name of the Company. ii) **Anurag Construction Company Limited:** The Title Deeds are in the name of Anurag Construction Company Limited. The process for getting mutation in the revenue records is ongoing.

	Observation of the RoC	Reply of the Transferee Company
		iii) **Calantha Builders & Developers Limited**: *The Title Deeds are in the name of Calantha Builders & Developers Limited. The process for getting mutation in the revenue records is ongoing*
7	*The Transferee company may kindly be directed to comply with the provision of section 232(3)(1) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital, if applicable*	*It is submitted that upon the Scheme coming into effect, the authorised share capital of the Transferee Company shall automatically stand increased by merging the authorised share capital of the Transferor Companies with the Transferee Company without any further act or deed on the part of the Transferee Company and the provisions of Sections 4, 5, 13, 14, 61, 62 and other applicable provisions, if any, of the Act read with Rules made thereunder or any other applicable provision of Act in relation to increase in authorised share capital of the Transferee Company shall be deemed to have been complied with and the Transferee Company is not required to do any further acts, deeds or things in this regard.* *It is further submitted that filing fees and stamp duty already paid by the Transferor Companies on the authorized share capital shall be utilized and applied for the increased share capital of the Transferee Company, and shall be deemed to have been so paid by the Transferee Company on such combined authorized share capital and accordingly, the Transferee Company shall not be required to pay any fees/ stamp duty on the authorized share capital so increased. Though the Transferor Companies and Transferee Company respectively have already paid requisite fee for the authorised share capital existing in the companies, however, the Transferee Company would pay additional requisite fee and stamp duty, if any, required to be paid on the increase of authorised share capital, post the Scheme coming into effect, in accordance with the Applicable Laws.* *The Transferee Company hereby undertakes to comply with the provisions of section 232(3)(1) of the Companies Act, 2013.*

(ii) The Petitioner Companies filed the reply to the RD report vide Diary No.03428/8 dated 06.08.2024, which was taken on record vide this Tribunal Order dated 27.09.2024

(iii) The Petitioner Companies in their reply stated that there are no objections to the Scheme and in para 10 of the representation/ affidavit, the RD has made certain observations, which were received by the Petitioner Companies No.1 to 7 vide email dated 18.04.2024 and vide reply letter dated 23.04.2024, the Transferee Company on behalf all the Petitioner Companies has given detailed reply to the observations to the RD. The RD in para 11 of the representation/ affidavit filed before this Tribunal, has reproduced the reply of the Transferee Company. Pursuant thereto, the RD has neither made any further observations nor raised any objections to the sanction of the Scheme and thus appears to be satisfied with the reply of the Petitioner Companies. Apart from the above, the Petitioner Companies undertakes to comply with all applicable laws and to discharge all liabilities, as and when the same falls due and payable in accordance with law.

(iv) In the hearing dated 27.09.2024, it was stated by Mr. Vineet Khatri, learned Company Prosecutor, for the RD, that he has gone through the response filed by the Petitioner Companies and he has no objection to the approval of the Scheme.

OFFICIAL LIQUIDATOR (OL)

12. The OL filed his report vide Diary No. 03428/01 dated 24.04.2024, which was taken on record vide this Tribunal Order dated 12.07.2024. The OL in its report has reproduced the information relating to the incorporation of the Petitioner Companies, their capital structure, financial highlights, shareholding, etc. and also made certain observations. The Petitioner Companies filed its reply to the OL report vide Diary

No.03428/9 dated 06.08.2024, which was taken on record vide this Tribunal Order dated 27.09.2024.

(i) The observations in the OL report and reply of the Petitioner Companies thereon are shown in the Table below:

<table>
<tr><th></th><th>Observation of the OL</th><th>Reply of the Transferee Company</th></tr>
<tr><td>1</td><td>Pending Litigations:- As per information provided by the Transferor Company 2, litigations with the Income Tax Authority are pending.</td><td>The sanctioning the Scheme ipso facto would not grant any immunity to any company involved in the Scheme qua any liabilities including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any other statute, in accordance with law. Further the Transferee Company undertakes on behalf of all the Transferor Companies involved in the Scheme to discharge/ take care of all liabilities/ proceedings including income tax demands/ liabilities/ proceedings, if any, in accordance with law.</td></tr>
<tr><td>2</td><td>As per the Auditors Report of Transferor Company No.2 i.e. DLF Garden City Indore Private Limited as on 31.03.2023 the Auditors have pointed out that:-
(a) During the year, the company has provided loans, Advances in the nature of loans, stood guarantee and provided security to companies, firms, Limited Liability partnership or any other parties as follows:-
<table>
<tr><th>Particulars</th><th>Loans (Rs. In Lakhs)</th></tr>
<tr><td>Aggregate amount granted/provided during the year</td><td>3,666.00</td></tr>
<tr><td>Balance outstanding as at balance sheet in respect of above cases – fellow Subsidiary</td><td>11,054.00</td></tr>
</table></td><td>(a)Inter-corporate loans are given from time to time in the normal course of business in compliance with the provisions of the Companies Act, 2013. All necessary compliances as required under the provisions of the Companies Act, 2013 including filing of statutory forms have been complied with, wherever applicable. No loan has been given, which is in contravention of Section 185 of the Act. Also, all necessary approvals have been taken from the Members and the Board while granting loans under Section 186 of the Companies Act, 2013 and the requisite forms have been filed.
(b) the sanctioning of the Scheme will not in any manner affect the pending assessment proceedings and ipso facto would not grant</td></tr>
</table>

<table>
<tr><th></th><th>Observation of the OL</th><th>Reply of the Transferee Company</th></tr>
<tr><td></td><td>b. The dues of GST, PF, ESI, Income Tax, Sales Tax, Service Tax, Duty of Custom, Value added tax, cess, and other statutory dues have not been deposited on account of any dispute, are as follows:-
<table>
<tr><th>Nature of Dues</th><th>Amount (Rs. In Lakhs)</th><th>Amount paid under protest (Rs. In Lakhs</th><th>Period to which the amount relates</th><th>Forum where dispute is pending</th></tr>
<tr><td>Entry Tax</td><td>35.21</td><td>26.42</td><td>2011-12 and 2012-13</td><td>Commercial Tax Appellate Tribunal Indore</td></tr>
<tr><td>Income Tax Act, 1961</td><td>285.02</td><td>150.00</td><td>2014-15 and 2015-16</td><td>Income Tax Appellate Tribunal</td></tr>
</table></td><td>any immunity to any company involved in the Scheme qua any liabilities including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any other statute, in accordance with law. Further, as the Transferee Company will continue to survive, it further undertakes to bear all the liabilities/ taxes/ demands that may arise qua the pending proceedings.</td></tr>
<tr><td>3</td><td>As per Auditor report of Transferor Company 4 i.e. DLF Residential Developers Limited the auditor has pointed out that the company has provided the loan to other companies for Rs.7,036/- Lakhs during the Financial Year 2022-23 and balance outstanding at the dated of balance sheet is Rs.1,697.19 Lakhs.</td><td>Inter-corporate loans are given from time to time in the normal course of business in compliance with the provisions of the Companies Act, 2013. All necessary compliances as required under the provisions of the Companies Act, 2013 including filing of statutory forms have been complied with, wherever applicable. No loan has been given, which is in contravention of Section 185 of the Act. Also, all necessary approvals have been taken from the Members and the Board while granting loans under Section 186 of the Companies Act, 2013 and the requisite forms have been filed.</td></tr>
</table>

	Observation of the OL	Reply of the Transferee Company
4	It appears from the balance sheets of Ms/. Chamundeswari Builders Private Limited (Transferor Companies No.1), M/s. DLF IT Offices Chennai Private Limited (Transferor Company No.3), M/s. Latona Builders and Constructions Private Limited (Transferor Company No.5) and M/s. Livana Builders & Developers Private Limited (Transferor Company No.6) are not doing any business in last three preceding years.	The Transferor Company Nos.1, 5 and 6 are the partners in a partnership firm named DLF Gayatri Developers and thus the business activities of the Transferor Company Nos.1, 5 and 6 include investments made by them into the Partnership for developing a project-residential township in Nandigama, Hyderabad and also for carrying on any other business or businesses as may be mutually agreed upon from time to time in Partnership. The above activity shows that the Transferor Companies Nos.1, 5 and 6 are actively involved in operational/ revenue generation activity and holding investments and thus come under the category of business oriented/ revenue generating companies. The copy of relevant page of the Balance Sheet of DLF Gayatri Developers as on 31.03.2023 showing the name of the Partners and profit received by them is attached and annexed at Annexure A-1.

(ii) In the hearing dated 27.09.2024, it was stated by Mr. Edward Augustine George, learned counsel for the OL that after gone through the response, he has no objection to the scheme.

INCOME TAX DEPARTMENT (ITD)

13. The report of Deputy Commissioner of Income Tax, New Delhi was received vide Diary No.95 dated 13.05.2024 by post and the ITD report was filed by the Senior Standing Counsel for the ITD vide Diary No. 03428/6 dt.10/07/2024, which was taken on record vide this Tribunal Order dated 12.07.2024.

(i) The Petitioner Companies, vide Diary No. 03428/7 dated 06.08.2024, filed its reply to the ITD report filed by the Senior Standing Counsel. The observations in the ITD report and reply of the Petitioner Companies thereon is shown in Table below:

<table>
<tr><th>Observation in the ITD report</th><th>Reply of the Transferee Company</th></tr>
<tr><td colspan="2">Transferor Company No.1: Chamundeswari Builders Private Limited</td></tr>
<tr><td>Please refer to your letter under reference cited, calling for report in the matter of Scheme of Amalgamation
filed under section 230-232 of the Companies Act, 2013 in respect of M/s Chamundeshwari Builders Pvt Ltd (Transferor company of Telangana) with DLF Home Developers Limited (Transferee Company of Haryana) and their respective Shareholders and Creditors.

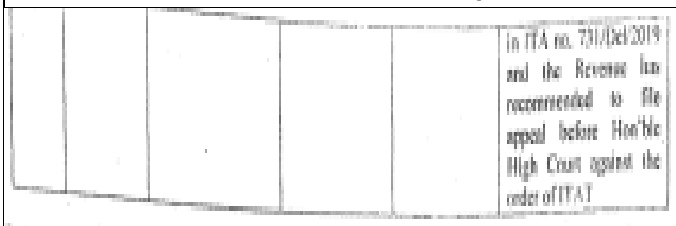
In this regard, it is to inform that the Transferor company M/s Chamundeshwari Builders Pvt Ltd (PAN:AADCC1948B) is assessed in this ward. There are no arrears pending against the Transferor company as on date and there is no likelihood of demand arising in next six months. Hence, this office has no comments/objections to offer with regard to the proposed amalgamation.</td><td>The concerned Income Tax Authority/ Department for Petitioner Company No. 1 has given a clear 'No Objection' for the proposed merger of the Petitioner Company No. 1 with Transferee Company.</td></tr>
<tr><td colspan="2">Transferor Company No.2 DLF Garden City Indore Private Limited, Transferor Company No. 4: DLF Residential Developers Limited and Transferee Company: DLF Home Developers Limited</td></tr>
<tr><td>3. On perusal of the PAN jurisdiction of the above companies, it is found that the jurisdiction of companies M/s DLF Garden City Indore Private Limited (Transferor Company), M/s DLF Residential Developers Limited(Transferor Company), and M/s DLF Home Developers Ltd (Transferee Company) currently lies with the undersigned.

4. In this regard, it is stated that as per information available on ITD/ITBA/CPC portal of the department, following demands are pending in respect of transferor companies:

a. M/s DLF Garden City Indore Private Limited, PAN: AAFCA5034N

<table><tr><th>S. No.</th><th>AY</th><th>Demand Section</th><th>Date of order</th><th>Demand outstanding</th><th>Remarks</th></tr><tr><td>1.</td><td>2014-15</td><td>143(3) r.w.s. 263</td><td>19.06.2019</td><td>Rs.97,10,740/-</td><td>The order passed by the Ld. PCIT has been quashed by the Hon'ble ITAT , New Delhi vide order dated 07.09.2022</td></tr></table></td><td>They have 'No Objection' to the above scheme of amalgamation subject to: (a) the carry forwarding of accumulated losses of the Petitioner Companies No. 2 and 4 shall be set off with profit of Transferee Company as per the provisions of Section 72A of the Income Tax Act, 1961; (b) Transferee Company will be liable to pay any demand or be entitled to any refund, if any, arising in the future due to any income tax proceedings etc.

The Transferee Company will also carry forward accumulated losses in the Petitioner Companies, if any, and the same shall be subject to applicable provisions of Income Tax including Section 72A of the Income Tax Act, 1961. The Transferee Company further undertakes that it will claim benefits of</td></tr>
</table>

Observation in the ITD report	Reply of the Transferee Company
	carried forward of business losses or unabsorbed depreciation in future post-merger, only in accordance with Income Tax Act or Rules framed there under as applicable from time to time.

					In ITA no. 730/Del/2019 and the Revenue has recommended to file appeal before Hon'ble High Court against the order of ITAT.

b. M/s DLF Residential Developers Limited, PAN: AACCD0511G

S. No.	AY	Demand Section	Date of order	Demand outstanding	Remarks
1.	2022-23	154/143(1)	05.06.2023	Rs.75,600/-	The assessee has filed application dated 16.02.2024 to rectify the order dated 05.06.2023 u/s 154/143(1) of the Act.

Further, it is stated that no proceedings under Income-tax act, 1961 are pending against transferor companies M/s DLF Garden City Indore Private Limited and M/s DLF Residential Developers Limited.

5. In view of the above facts and circumstances of the case, it is stated that Department has no objection to the scheme of amalgamation of companies M/s DLF Garden City Indore Private Limited (Transferor Company) and M/s DLF Residential Developers Limited(Transferor Company into M/s DLF Home Developers Ltd (Transferee Company) subjected to the following conditions:

a. In case of any demand payable by or refund due to the transferor companies M/s DLF Garden City Indore Private Limited and M/s DLF Residential Developers Limited shall be payable by or refundable to M/s DLF Home Developers Ltd (Transferee Company) after disposal of appeal filed by the Revenue for AY 2014-15 before Hon'ble High Court and after disposal of rectification application filed by the assessee respectively.

b. The losses carried out by the aforesaid transferor Companies, if any will be set off with profit of M/s DLF Home Developers Ltd (Transferee Company) as per provision of section 72A of the Income-tax Act, 1961.

Transferor Company No.3: DLF IT Offices Chennai Private Limited

Sl. No.	Particulars	A.Y.	Date of Filing of Return	Gross total Income/Loss (in Rs.)	Refund/Demand (in Rs.)
1	ITR details	2019-20	22.10.2019	60,75,310	-2420
		2020-21	08.02.2021	1,89,19,640	-19,89,110
		2021-22	05.03.2022	1,58,34,940	-270
		2022-23	14.10.2024	1,55,94,310	-20
		2023-24	30.10.2024	1,60,65,380	-10
2	Whether any dues are pending	A.Y.	Date of Order	Demand Outstanding	Amount Collectible
		No outstanding demand as per records available on system			
3	Whether any proceedings are pending.		No proceedings are pending as per records available on system		

The Income Tax Authority for the Transferor Company No. 3 in their report has stated that they have 'No Objection' to the above scheme of amalgamation with the direction by the NCLT to Transferee Company to bear all the liabilities and all the pending appeals and proceedings under the Income tax Act shall be enforced and continued against the Transferee Company.

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Observation in the ITD report	Reply of the Transferee Company
4 Whether transactions of disproportionate value were under taken by the company. — Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect. 5 Whether huge cash deposits are found in their account. — Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect. 6 Whether company's bank accounts have been used for money laundering and tax evasion. — Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect 4. In view of above, as per details available on the ITBA system as on date, it is seen that the assessee company M/s DLF IT Offices Chennai Private Limited [Petitioner Company No. 3/Transferor Company No. 3] [PAN: AADCD9889J] has no outstanding demand at present. 5. Further, if upon coming in to effect of this scheme of amalgamation, the Hon'ble National Company Law Tribunal may kindly direct that : All the compliances under the Income Tax Act, 1961 shall be made by the Transferee Company or resultant company after the appointed date. All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act shall be enforced and continued against the Transferee Company.	
Transferor Company No.5: Latona Builders & Constructions Private Limited	
Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue. — The assessee has filed ITR, from AY 2008-09 to 2023-24 and there is no outstanding tax demand as per ITBA. Further the parties to amalgamation have filed with the NCLT that *"All assets and liabilities including Income Tax and all other statutory liabilities, if any of the transferor companies will be transferred to and vest in the Transferee company."* Department/Revenue has no objection, however, reserves its right to initiate/continue any proceedings under IT Act, 1961. Department/Revenue reserves its right to recover any demand payable by the company, when it comes to the knowledge of the Department The company may be asked to bear outcome of any proceedings under I.T. Act based on information gathered / available. **The company may be asked to give an undertaking to pay any income tax/penalty, as a result of ongoing/future proceedings under IT Act, 1961.**	The Income Tax Authorities for the Transferor Companies No. 5 in their report have stated that they have 'No Objection' to the above scheme of amalgamation subject to an undertaking by the Transferee Company to undertake to pay any income tax/ penalty as a result of ongoing/ future proceedings under the Income Tax Act, 1961.

Observation in the ITD report	Reply of the Transferee Company
Transferor Company No.6: LIVANA BUILDERS & DEVELOPERS PRIVATE LIMITED	
Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue. The assessee has filed ITR, from AY 2007-08 to 2023-24 and there is no outstanding tax demand as per ITBA. Further the parties to amalgamation have filed with the NCLT that *"All assets and liabilities including Income Tax and all other statutory liabilities, if any of the transferor companies will be transferred to and vest in the Transferee company."* Department/Revenue reserves its right toinitiate/continue any proceedings under IT Act, 1961. Department/Revenue has no objection, however, reserves its right to recover any demand payable by the company, when it comes to the knowledge of the Department The company may be asked to bear outcome of any proceedings under I.T. Act based on information gathered / available. **The company may be asked to give an undertaking to pay any income tax/penalty, as a result of ongoing/future proceedings under IT Act, 1961.**	The Income Tax Authorities for the Transferor Companies No. 6 in their report have stated that they have 'No Objection' to the above scheme of amalgamation subject to an undertaking by the Transferee Company to undertake to pay any income tax/ penalty as a result of ongoing/ future proceedings under the Income Tax Act, 1961.
	The sanctioning of the Scheme will not in any manner affect the pending assessment proceedings and ipso facto would not grant any immunity to any Company involved in the Scheme qua any liabilities including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any other statute, in accordance with law. The Transferee Company shall bear the burden and benefits of any demand, legal or other proceedings initiated by or against the Transferor Companies in accordance with law and therefore, the interest of the revenue would not be affected at all. Further, the Transferee Company undertakes on behalf of all the Transferor Companies, involved in the present Scheme, to discharge/ take care

Observation in the ITD report	Reply of the Transferee Company
	of all liabilities/ proceedings including income tax demands/ liabilities/ proceedings, if any, in accordance with law. Apart from the above, the Transferee Company undertakes to comply with all applicable laws and to discharge all liabilities, as and when same falls due and payable in accordance with law.

(ii) In the hearing dated 27.09.2024, it was stated by Mr. Yogesh Putney, learned Senior Standing Counsel for the ITD, that he has no objection to the Scheme.

REAL ESTATE REGULATORY AUTHORITY (RERA)

14. The Transferee Company filed an affidavit vide Diary No.03428/5 dated 11.07.2024 stating that the Transferee Company issued notice to HRERA, Panchkula and RERA, Delhi on 7.03.2024 and the compliance affidavit dated 25.04.2024 was placed on record of this Tribunal.

(a) HRERA Panchkula

(i). Pursuant to the receipt of the notice, the HRERA Panchkula, in its meeting held on 8.05.2024 passed a resolution (annexed as Annexure A-1 of the affidavit) directing/ requiring the Transferee Company to file an undertaking within fifteen days. In response, the Transferee Company submitted all the necessary undertakings as required by HRERA Panchkula, vide its letter dated 28.05.2024, a copy of which along with the receipt of acknowledgement by the HRERA, Panchkula has been annexed as Annexure A-2 (Colly) of the affidavit. The submission of undertaking by the Transferee Company was duly taken on record by the HRERA Panchkula in its meeting dated 12.06.2024 (copy of the extract of resolution passed has been annexed

as Annexure A-3 of the affidavit) and the same was uploaded on the web portal of the HRERA, Panchkula.

(ii). In the hearing dated 12.07.2024, a date was requested by the learned counsel for the HRERA Panchkula on the ground that reply is stated to be ready, but the same has not registered with the diary number.

(iii). The report of HRERA, Panchkula has been filed vide diary no. 03428/11 dated 08.08.2024 giving No Objection to the Scheme of Amalgamation. The relevant extract of the said report is reproduced below:

> Transferee company (DLF Home Developers Limited) has a registered project with Haryana Real Estate Regulatory Authority, Panchkula namely 'The Grand Enclave' a Residential Plotted Colony under NILP Policy over an area measuring 10.77 acres situated in the revenue estate of village Shimla Molana, sector 40, Panipat registered vide Reg. no. HRERA-PKL-PNP-495-2023 Dated 22.09.2023 valid upto 31.08.2026. An affidavit cum undertaking dated 28.05.2024 has been submitted by DLF Home Developers Limited affirming and declaring that:
>
> 1. *Under the scheme of amalgamation, there is no extinguishment of rights of allottees and the same are well protected and no prejudice will be caused to any of the stakeholders;*
> 2. *The scheme does not affect the liabilities of applicant company payable to the allotees under law. As such, none of the liabilities of the applicant company are being extinguished. Hence, no prejudice is/shall be caused to any allottee(s) in project under* ***DLF HOME DEVELOPERS LIMITED****;*
> 3. *That the post-amalgamation, the Transferee Company shall comply with all the pending obligations under the provisions of the RERD Act, 2016 or the rules and regulations made thereunder, and the pending obligations towards the allottees's.*
> 4. *That the Transferee Company to complete real estate project registered with HRERA Panchkula and to comply with all the pending obligations of the Transferor Companies and in case of default, Transferee Company shall be liable to the consequences of breach or delay, as the case may be, as provided under this Act or rules and regulations made thereunder.*
>
> Therefore, it is apparent that by adopting the scheme of amalgamation, the transferee company DLF Home Developers Limited shall comply with all the pending obligations under the provisions of The Real Estate (Regulation and Development) Act, 2016 and the rules and regulations made thereunder, and the pending obligations towards the allottees. This Authority has no objection qua the scheme of arrangement of Amalgamation. However, this NOC is in no way a waiver of any of the obligations cast upon the promoter under the provisions of RERA Act, 2016 or the rules and regulations made thereunder.

(b) RERA Delhi

(iv). Pursuant to the receipt of the notice, RERA, Delhi, vide notice dated 25.06.2024 (copy annexed as Annexure A-4) directed the Transferee Company to file an

undertaking regarding certain queries either in person or through authorized representative. In response, the Transferee Company submitted all the necessary undertakings as required by RERA, Delhi, vide its letter dated 8.07.2024, the copy of which along with the receipt of acknowledgement by the RERA, Delhi has been annexed as Annexure A-5 (Colly) of the affidavit.

(v). The RERA, Delhi, vide Special Diary No.77 dated 06.05.2024 by post, has filed the Authority Order dated 11.07.2024, which was taken on record vide this Tribunal Order dated 12.07.2024. It is stated in the report that DLF Mid Town Plaza, a project of DLF Home Developers Limited is registered with RERA Delhi and since there is no allottee in the said project as of now, none would be affected by the proposed amalgamation, however the promoter applicant has been directed to inform the details of financials of the parent company after amalgamation to the allottees in case they decide to sell any part of the project in future. The relevant extract of the said Order is as below:

ORDER
Dated: 11.07.2024

1. Adv. Abhishek S. along with Ms. Mandeep Kaur, AR appeared on behalf of the Applicant.

2. Ld. Counsel for Applicant submitted that his clients now propose to implement the project as per the revised sanctioned building plan for which all necessary approvals have been taken like environment, pollution etc.

3. They further informed that they do not propose to sell any part of this project and the units shall be given on short lease and till date no portion of the project has either been leased or sold.

4. The Applicant was directed to submit the details of changes in the project in the prescribed performa before the Authority within two weeks before 30.07.2024.

5. They further stated that promoter in the present case has made application before NCLT Bench in Chandigarh to grant permission for amalgamation of six companies as mentioned below with the Promoter company of the project, DLF Midtown Plaza, DLF Home Developers Ltd.
   i. Chamundeshwari Builders Pvt. Ltd.

ii. DLF Garden City Indore Pvt. Ltd.
iii. DLF IT Officers Chennai Pvt. Ltd.
iv. DLF Residential Developers Limited
v. Latona Builder & Constructions Private Limited
vi. Livana Builders & Developers Private Limited

6. These companies are profit making and none of these companies have any delayed project.

7. Since, there is no allottee in the project as of now, we are of the opinion that none would be affected by the proposed amalgamation.

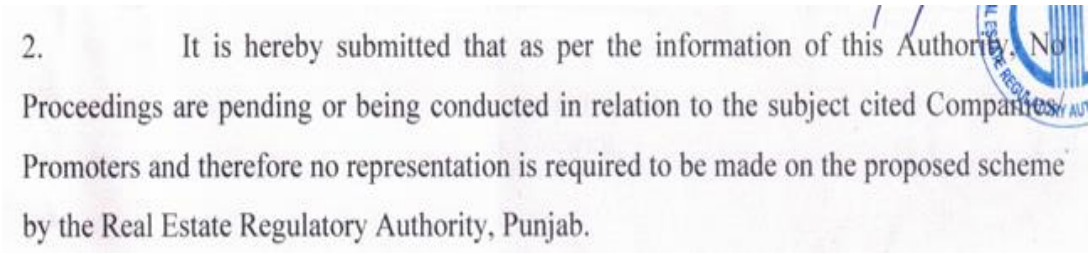
8. However, the Promoter Applicant is directed to inform the details of financials of the parent company after amalgamation to the allottees in case they decide to sell any part of the project in future.

(c) RERA Punjab

(vi). In the hearing dated 12.07.2024, the Learned counsel for the Petitioner-Companies was directed to follow up the report of RERA, Punjab, which is still awaited and also directed to furnish affidavit of service.

(vii). The report of PRERA, Chandigarh has been filed vide Special Diary No.361 dated 19.08.2024 by post. It is stated in the report that no proceedings are pending or being conducted in relation to the company/promoters of the petitioner companies and therefore no representation is required to be made on the project scheme. The relevant extract of the said report is reproduced below:

Whereby two separate notices of Petition have been received by the Real Estate Regulatory Authority, Punjab from the subject cited Companies/ Promoters in pursuance of Section 230 (5) of the Companies Act, 2013, Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and other applicable provisions to serve a copy of the Order dated 01.03.2023 along with the petition passed by Hon'ble Bench of the National Company Law Tribunal, Chandigarh, for making the representation by the RERA, Punjab, if any, before the Hon'ble Bench of the National Company Law Tribunal, Chandigarh.



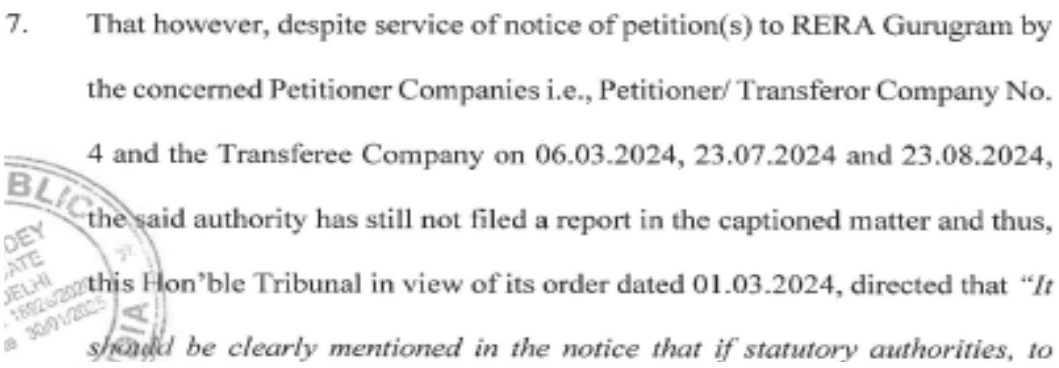
2. It is hereby submitted that as per the information of this Authority, No Proceedings are pending or being conducted in relation to the subject cited Companies/ Promoters and therefore no representation is required to be made on the proposed scheme by the Real Estate Regulatory Authority, Punjab.

(d) HRERA Gurgaon

(viii). In the hearing dated 12.07.2024, the Ld. Counsel for the Petitioner Companies was directed to follow up the report of RERA, Gurgaon and furnish the affidavit of service.

(ix). The HRERA Gurgaon did not file its report, despite service, therefore this Tribunal vide its order dated 27.09.2024 recorded that RERA, Gurgaon, has still not filed a report, despite repeated service of notice and there was no representation on behalf of the RERA, Gurgaon and directed the Ld. Counsel for the Petitioner Companies to file undertaking that the Transferee Company undertakes all the liabilities and compliances, if any, required by RERA, Gurgaon.

(x). In furtherance of the above order, the Petitioner Companies filed an undertaking on Affidavit vide Diary no. 03428/13 dated 03.10.2024, the relevant extract of which is reproduced below:



7. That however, despite service of notice of petition(s) to RERA Gurugram by the concerned Petitioner Companies i.e., Petitioner/ Transferor Company No. 4 and the Transferee Company on 06.03.2024, 23.07.2024 and 23.08.2024, the said authority has still not filed a report in the captioned matter and thus, this Hon'ble Tribunal in view of its order dated 01.03.2024, directed that *"It should be clearly mentioned in the notice that if statutory authorities, to*

whom the notice is served, does not file their reply/ representation within a period of 30 days from the date of receipt of such notice, it shall be presumed that they have no representations to make on the proposals". Hence, it is most humbly prayed that considering the aforesaid order of 01.03.2024, this Hon'ble Tribunal may consider no representation by RERA Gurugram as deemed approval by the concerned authorities to the sanctioning of the present scheme.

8. That in compliance of the order dated 27.09.2024 passed by this Hon'ble Tribunal, the Transferee Company on behalf of all the Petitioner/ Transferor Companies hereby further gives an unconditional undertaking to comply with all applicable laws, rules, regulations, compliances and to discharge all liabilities, if any, as and when the same falls due and payable in accordance with law, with respect to HRERA Gurugram.

COMPETITION COMMISSION OF INDIA

15. The Report of Competition Commission of India has been filed by the Advisor, CCI vide diary no.10 dated 05.04.2024 by post, which was taken on record vide this Tribunal Order dated 12.07.2024.

i. The Report of Competition Commission of India is reproduced below:

This has reference to the captioned subject, seeking representation of the Competition Commission of India (**"Commission"**), if any, on the following matter(s): -

SN	Name of the parties	Date of receipt	CA No.	CP No.
1.	Chamundeswari Builders Private Limited, DLF Garden City Indore Private Limited, DLF IT Offices Chennai Private Limited, DLF Residential Developers Limited, Latona Builders & Constructions Private Limited, Livana Builders & Developers Private Limited and DLF Home Developers Limited	12.03.2024	17/Chd/Hry/2023	42/Chd/Hry/2023

2. In this regard, it is informed that under the provisions of the Competition Act, 2002 (**"Act"**), a notice for combination is to be mandatorily given to Commission subject to meeting of thresholds, in terms of combined assets or combined turnover. Further, there are certain exemptions available for which notice may not normally be given to the Commission.

3. It is informed that as of date, the said matter has not been filed with the Commission under the provisions of the Act.

4. It is requested that before passing an appropriate order, the NCLT may seek an undertaking from the companies involved that approval of the Commission is not required for the said matter(s).

ii. The Petitioner Companies, vide Annexure A-35 (Colly.) of the Petition, have submitted the affidavits that the requirement of obtaining approval from CCI under sub-clause (2) of section 6 of the Competition Act, 2002 is exempted vide entry 9 to Schedule I in terms of Regulation 4 of CCI (Procedure in regard to the transaction of business relating to combinations), Regulations, 2011, as the Transferee Company holds 100% shareholding of the Transferor Company Nos.1 to 6.

16. The petitioner companies have also submitted an affidavit placing on record the financial statements of the Petitioner Companies as on 31.03.2024 alongwith copy of letter dated 12.08.2024 issued by RERA Punjab and letters issued by the Petitioner company No. 4, 7 to RERA Gurugram vide diary no. 03428/12 dated 17.09.2024.

17. The Certificates of the Statutory Auditors that 'the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards as prescribed by the Act or the central government has been annexed as Annexure A-31 (Colly.) of the Petition.

DIRECTIONS

18. We have heard the Ld. Counsel for Petitioner Companies, OL & ITD and Company Prosecutor for RD/RoC and have perused the record submitted by the Petitioner Companies as well as the Statutory Authorities carefully.

19. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on both the Transferor Companies and Transferee Company (Petitioner

Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

20. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

21. While approving the scheme as above, it is clarified that this order should not be construed as approval by any Statutory Authorities viz. RBI, SEBI, CCI, RERAs etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Companies against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

22. This Tribunal do further order:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2022, the Transferor Companies shall stand dissolved without undergoing the process of winding up;

(ii) All the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be

transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

(iii) All the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(iv) The authorized share capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor Companies on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation;

(v) The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(vi) The Transferee Company shall, without further application, allot to the existing members of the Amalgamating Companies, shares of Transferee Company to which they are entitled under the Scheme;

(vii) All proceedings pending, if any, by or against the Transferor Companies be continued by or against the Transferee Company;

(viii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Amalgamating Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(ix) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Companies is transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Petitioner Company No. 1 and 7.

(x) The Transferee Company on behalf of all the Petitioner/ Transferor Companies will comply with all applicable laws, rules, regulations, compliances and to discharge all liabilities, if any, as and when the same falls due and payable in accordance with law, with respect to HRERA

Gurugram. The Transferee Company on behalf of all the Petitioner/ Transferor Companies will also comply with the directions given in their report.

(xi) The Transferee Company will clear all the pending statutory dues after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(xii) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(xiii) As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the petitioners to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

23. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Companies and Transferee Company shall be consolidated accordingly, as the case may be.

24. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

25. The Company Petition bearing number CP(CAA) No.42/Chd/Hry/2023 is allowed, therefore the matter stands disposed of.

Sd/-

(**UMESH KUMAR SHUKLA)**
Member (Technical)

Sd/-

(**HARNAM SINGH THAKUR**)
Member (Judicial)

November 20, 2024
Vishesh